Harlow & Pryce Property Valuers Pty Ltd

Property valuation and advisory

Independent Valuation
Coastal Ridge Estates

Narangba residential land subdivision: valuation for mortgage security purposes

Prepared for Quillwood Credit Partners

Valuation date 24 February 2025

Version 1.0 Final

Reference: HP-VAL-2025-0224-CRE

Date: 24 February 2025

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Coastal Ridge Estates Pty Ltd
ABN	46 592 585 810
Sponsor	Ridgeline Homes Group Pty Ltd (trading as Ridgeline Homes)
Property	14.6 hectare greenfield site, Narangba, Moreton Bay Regional Council area, QLD
Proposed development	140 residential lots in four stages
Valuation date	24 February 2025
Prepared by	Harlow & Pryce Property Valuers Pty Ltd
Prepared for	Quillwood Credit Partners
Version	1.0 Final

Valuation details

1. Executive summary

Harlow & Pryce Property Valuers Pty Ltd has been instructed by Quillwood Credit Partners to provide an independent valuation of the Narangba site owned by Coastal Ridge Estates Pty Ltd, for first mortgage security purposes. The borrower has requested a senior secured construction and development facility of A$27.0M with a 30 month tenor, supported by a first ranking real property mortgage and general security agreement.

We have assessed the market value of the site on an as-is basis, with the benefit of reconfiguring a lot approval and operational works approval, at A$14.2M exclusive of GST. We have also assessed the gross realisation value (GRV) of the completed 140 lot project at A$68.6M exclusive of GST, equal to an average of A$490,000 per lot. Both figures are subject to the assumptions and limiting conditions in section 9.

Measure	Result
Market value, as-is (ex GST)	A$14.2M
Rate per approved lot	A$101,400
Rate per hectare	A$973,000
GRV, 140 lots (ex GST)	A$68.6M
Total development cost (borrower budget)	A$45.0M
Facility limit requested	A$27.0M
Facility to GRV	39.4%
Facility to total development cost	60.0%

Summary of valuation conclusions and lending metrics

The land value and the GRV are supported by market evidence. The main concerns for the lender lie outside the value conclusion: pre-sales are low at 18%, sponsor equity is not fully evidenced, and the cost budget carries limited contingency. These are discussed in section 8.

2. Instructions and basis of valuation

The valuation is prepared for Quillwood Credit Partners only and for the purpose of assessing mortgage security. We have adopted market value as defined by the International Valuation Standards and the Australian Property Institute: the estimated amount for which an asset would exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties had each acted knowledgeably, prudently and without compulsion.

The site was inspected on 18 February 2025. We have relied on the information memorandum issued on 10 February 2025, the planning documentation prepared by Ostler Planning Group Pty Ltd, and the council approvals described below. An independent quantity surveyor's review by Tindall Cost Consultants Pty Ltd had not been received at the

valuation date, and we have not verified the borrower's cost budget.

3. The borrower and the project

Coastal Ridge Estates Pty Ltd is a single-purpose vehicle established by Ridgeline Homes to develop the site. It has no operating business and no revenue. Its directors are Daniel Fairbairn (Director and Chief Executive Officer, who is also managing director of Ridgeline Homes Group Pty Ltd), Priya Fennimore (Director and Chief Financial Officer) and Tom Eastgate (Non-executive Director and Development Director). The registered office is Level 6, 200 Adelaide Street, Brisbane QLD 4000.

The site was acquired on 22 August 2023 for A$13.6M, funded by a A$7.5M land loan and A$6.1M of sponsor equity. The facility would refinance the land loan and fund civil construction, statutory infrastructure charges, professional fees, marketing and capitalised interest across all four stages. Stage 1 settlements are forecast about 14 months after financial close.

4. The property

4.1 Site and approvals

The site is a regular, predominantly cleared parcel of 14.6 hectares at Narangba, within the Moreton Bay Regional Council area. Surrounding land is a mix of established residential estates and further land in the development pipeline. The site has road frontage and is close to the Narangba rail station and the Bruce Highway corridor, which support access to the Brisbane employment base.

- 16 May 2024: Moreton Bay Regional Council granted reconfiguring a lot approval for 140 residential lots in four stages.
- 29 November 2024: operational works approval was granted for stage 1 and stage 2 civil works.
- Stages 3 and 4 do not yet hold operational works approval. We have assumed it will be obtained on customary terms.

4.2 Proposed lot mix

Lots range from 375 to 600 square metres, with an assessed average of about 450 square metres. Civil works, stormwater, roads and services are to be delivered under a fixed price head contract. The table below sets out our assessed lot mix and prices.

Lot size (sqm)	Lots	Price (A$k)	Value (A$M)
375	24	440	10.56
400	30	460	13.80
450	44	490	21.56
500	28	525	14.70
600	14	570	7.98
Total / average	**140**	**490**	**68.60**

Assessed lot mix and gross realisation value (ex GST)

5. Market overview

Moreton Bay is one of the main growth corridors of south-east Queensland, supported by relatively affordable land, infrastructure investment and population growth. Narangba and neighbouring Burpengary and Morayfield have a steady record of lot sales to owner-occupiers and first home buyers, with builders such as the sponsor providing house and land packages.

Lot supply in the corridor has increased, with several competing estates released or approved. In our opinion this is the principal market risk to the project. Buyers can choose between estates, and sales rates in any one estate may fall

if pricing is not kept in line with the market. Our assessed prices reflect the upper part of the observed range for lots of similar size, and we have applied them on the basis of a competitive, well-presented release.

6. Valuation of the site, as-is

We have adopted the direct comparison method, with sales of englobo land holding subdivision approval analysed on a rate per approved lot and rate per hectare. The hypothetical development method was used as a cross-check only. A residual analysis is highly sensitive to the assumed end values, costs and timing, and, on the borrower's figures, produces results well above the sales evidence. We have therefore given it little weight.

Property	Sale date	Price (A$M)	A$ per lot	A$ per ha
Burpengary East, 12.8 ha, 118 lots	Mar 2024	11.4	96,600	890,600
Narangba, 16.2 ha, 152 lots	Jun 2024	15.0	98,700	925,900
Morayfield, 9.5 ha, 86 lots	Sep 2024	9.1	105,800	957,900
Caboolture South, 11.0 ha, 105 lots	Nov 2024	11.3	107,600	1,027,300
Subject, assessed value	Feb 2025	14.2	101,400	972,600

Englobo sales evidence with subdivision approval

The assessed rate of A$101,400 per lot sits within the range of A$96,600 to A$107,600 shown by the evidence. The subject is larger than most comparables and has both reconfiguring a lot and stage 1 and stage 2 operational works approvals, which supports a rate in the mid to upper part of the range. The rate per hectare is consistent with the Narangba sale and the two northern sales. The purchase price of A$13.6M in August 2023 equates to A$97,100 per lot, so our assessment is about 4.4% above the acquisition price after allowing for the approvals obtained since.

As a cross-check, the assessed land value equals 20.7% of GRV, which is within the range we would normally expect for greenfield subdivision of this type. We assess the market value of the site, as-is, at A$14.2M exclusive of GST.

7. Gross realisation value and project costs

The GRV of A$68.6M is the sum of the assessed individual lot prices in section 4.2, being 140 lots at an average of A$490,000 exclusive of GST. It assumes orderly sell-down over the project period, and does not allow for discounting or a bulk sale. The borrower's total development cost budget is A$45.0M, summarised below.

Cost item	A$M	% of TDC
Land acquisition	13.6	30.2%
Civil construction (fixed price)	16.6	36.9%
Construction contingency	0.75	1.7%
Statutory infrastructure charges	4.2	9.3%
Professional fees	2.6	5.8%
Marketing and selling	2.4	5.3%
Finance costs and capitalised interest	4.85	10.8%
Total development cost	**45.0**	**100.0%**

Borrower's total development cost budget (not independently verified)

Contingency of A$0.75M is 4.5% of civil construction. In our opinion this is light for earthworks and stormwater on a site where ground conditions vary, and an independent quantity surveyor's review should address it. On the borrower's figures, the implied development profit is A$23.6M, or 34.4% of GRV. The size of that margin depends on the price assumptions, which is why we have tested them below.

Scenario	GRV (A$M)	TDC (A$M)	Profit (A$M)	Facility / GRV
Base case	68.6	45.0	23.6	39.4%
Lot prices down 5%	65.2	45.0	20.2	41.4%
Lot prices down 10%	61.7	45.0	16.7	43.7%
Costs up 10%	68.6	49.5	19.1	39.4%
Prices down 10%, costs up 10%	61.7	49.5	12.2	43.7%

Sensitivity analysis (facility held at A$27.0M, finance cost impact not modelled)

8. Security and lending considerations

The A$27.0M facility equals 39.4% of GRV and 60.0% of total development cost. The existing A$7.5M land loan equals 52.8% of our as-is value. These measures are within the range commonly applied to land subdivision, but they rely on three matters that are not within our valuation scope and that the lender should address.

- Pre-sales. 25 of 140 lots (18%) are presold. We have not sighted the contracts. Pre-sales at this level leave most of the sell-down risk with the borrower, and the lender should confirm that its policy minimum is met before construction drawdown.
- Sponsor equity. The budget implies equity of A$18.0M, being total development cost of A$45.0M less the A$27.0M facility. The information memorandum evidences A$12.3M, leaving a shortfall of A$5.7M for which no committed source of funds has been identified.
- Cost and approvals risk. Contingency is light, statutory infrastructure charges of A$4.2M may change, and council conditions could delay stage release. Stages 3 and 4 depend on further operational works approvals.
- Sponsor support. The borrower is a special purpose vehicle with a single asset and no other income. We have seen no guarantee from Ridgeline Homes Group Pty Ltd of a strength that would offset these risks.

Because the security is raw land at drawdown, its value is mainly that of the as-is land and the completed works. Debt of A$27.0M exceeds the as-is value of A$14.2M, so the lender's cover would depend on the project being delivered. If the project stalled part-way through, recovery would depend on the value of partly completed stages and unsold lots, which we expect would be materially below the GRV.

9. Assumptions and limiting conditions

- Values are exclusive of GST. We have assumed no adverse GST treatment arises from the structure of sales.
- Title is assumed to be freehold and clear of encumbrances that would affect value. We have not undertaken a title search or reviewed a contamination, flood or geotechnical report beyond the information supplied.
- We have assumed the approvals described in section 4.1 are current and enforceable, and that remaining approvals will be obtained on customary terms and in the forecast timeframe.
- The cost budget is the borrower's and has not been verified. Our conclusions would need review if the quantity surveyor's report differs materially.
- Market conditions can change quickly. The valuation is current at 24 February 2025 only, and we recommend it is not relied on after three months without our written confirmation.
- This report is for the sole use of Quillwood Credit Partners. No liability is accepted to any other party.

10. Valuation conclusion and certification

Having regard to the matters in this report, we assess the market value of the property at 24 February 2025 as follows.

Basis	Value (ex GST)
Market value, as-is	A$14.2M
Gross realisation value, 140 lots	A$68.6M

Valuation conclusion

We certify that we have no pecuniary interest in the property or the borrower that would conflict with the proper valuation of the property, and that the valuation fee does not depend on the value reported.

Valuer	Harlow & Pryce Property Valuers Pty Ltd
Valuation date	24 February 2025
Report date	24 February 2025
Signed	Authorised signatory, for and on behalf of the firm

Certification